AI Strategy · the client problem and why this approach

Meadowlane Bank's complaints are slow because handlers search and re-type, not because they decide badly. So the AI assists the handler and never decides.

The problem

Meadowlane Bank plc (fictional UK high-street retail bank) has a growing complaints backlog against FCA deadlines: 15 business days for payment complaints, 8 weeks for the rest. Handlers spend much of each case finding the right policy clause and writing from scratch. Specialist teams return incomplete handovers, adding days to time-limited cases.

Why assist, not automate

Outcome decisions carry Consumer Duty, Ombudsman and UK GDPR Article 22A exposure, and "agentic AI will do broken work faster". We redesigned the handover (a pack that cannot be sent incomplete) rather than only speeding up drafting. A named person approves, edits or escalates every case, with a reason.

Scope

In: masking, triage, policy search, cited draft, checks, handover pack, delay letters, audit trail, adoption measures. **Out:** sending anything, live model calls in the demo, real customer data, root-cause analytics (roadmap).

Opportunity assessment (value · feasibility · risk · readiness)

Opportunity	Value	Feasibility	Risk	Readiness	Decision
Policy search for the handler	High	High	Low	High	Built
Triage and key facts	Medium	High	Medium	High	Built
Cited draft reply	High	Medium	Medium	Medium	Built, with code checks
Specialist handover pack	High	High	Low	High	Built
Deciding outcomes and redress	High	Low	High	Low	Ruled out
Root-cause analytics	Medium	Medium	Low	Low	Roadmap

Scores are my assessment from the brief and FCA material, not measured. The working prototype is a human-centred MVP: handlers keep every decision, and the controls produce their own evidence.

Assumptions to test in a pilot

- Time is lost in search and typing, not in judgement (time handlers with and without the tool).
- Specialist returns are caused by missing information the pack can capture.
- A 13-check gate is acceptable friction: 17 of 60 stored drafts are locked for a real reason today.

How it was built and how AI tools were used

Six steps: four in code, two with a model. Code does everything that must be the same every time; the model does the reading and writing.

1 · Code
Mask
Names, accounts, contacts and merchants become tokens. A leak check stops the case if anything slips through.

2 · AI model (Claude Haiku)
Triage
Type, key facts, signs of vulnerability, which deadline applies. Structured output, validated by code.

3 · Code
Find policy
Keyword (BM25) search over 87 clauses in 11 policies. Deadline, ombudsman and redress clauses always included.

4 · AI model (Claude Sonnet)
Draft
A reply with the policy clause behind each claim, and a handover pack when a specialist team is needed.

5 · Code
Check
13 checks: masking, injection, citations exist and cover claims, redress limits, ombudsman wording, plain language.

6 · Person
Decide
Approve, edit and re-check, or escalate, with a reason. Vulnerable customers and higher redress need a senior too.

Design choices

- **Keyword search, not embeddings:** deterministic and explainable for about 100 clauses; a pilot would test hybrid retrieval.
- **Controls in code, not in the prompt:** a prompt can be talked out of a rule; a check cannot, and it writes its own evidence.
- **Technology-agnostic:** models are set by configuration, so a bank can swap in its own.
- **Stored outputs for the demo:** the hosted app serves a real model run from 09/11/2026 and never calls a model, so assessors need no key and all see the same results.
- **Plain English for non-technical staff:** policy references read "Unauthorised transactions and fraud, section 3.3"; statuses read "Waiting for a senior".

AI tools assessment

Tool	Used for	Strengths found	Limits found
Claude Code	Building the app, 167 unit tests, synthetic data, docs	Fast iteration with tests written first; can run the app and look at it	Needs an engineer reviewing every change; drifts from the design rules unless checked
Claude API (Haiku, Sonnet)	Triage and drafting, Batch API for evaluation	Reliable structured output; about 1p per complaint	Its confidence score is not calibrated; invents a clause when a complaint names one
Playwright, impeccable, aipolicy.uk and Twenty as references	Checking every screen; copying a proven dashboard structure	Caught layout and wording defects before they shipped	Phone layout untested in this run

What I did versus the tools: I set the scope, wrote the specification and rules, wrote and labelled the 60 complaints, chose every control and threshold, reviewed each change and decided what to ship. Claude Code wrote most of the code to those rules, test first; the models produced the stored triage and drafts.

What was tested: results and limitations

Measured on 60 labelled synthetic complaints: six of eight targets met, and every miss was caught by a code check before a person could approve it.

Measure (latest run, prompt v2, 09/11/2026)	First run (v1)	Latest	Target	
Right type of complaint	49/60 (81.7%)	54/60 (90.0%)	≥ 90%	Met
Vulnerable customers spotted	14/14	14/14 (100%)	≥ 95%	Met
Right deadline rule	52/60 (86.7%)	55/60 (91.7%)	≥ 95%	Missed
Right team	53/60 (88.3%)	54/60 (90.0%)	≥ 90%	Met
No personal data sent to the AI	60/60	60/60 (100%)	100%	Met
Policy references that exist	269/270	268/268 (100%)	100%	Met
Redress above the limit and not blocked	0	0	0	Met
Adversarial tests passed by the model	12/12	9/12 (75%)	100%	Missed
Expected policy clauses found	75.5%	77.5%	reported	
Cases sent to a person with no draft	4/60	3/60 (5%)	reported	

Cost £0.0094 per complaint at list prices (Batch API, half price). Time 7.5 s per case average, 10.7 s at the 95th percentile (from the non-batched run). Four runs are kept because the model does not answer the same way twice.

The three adversarial misses, and what the code did

- **Invented policy (2 cases):** the complaint cited "policy 9.4"; the model offered £180 and £500 on its strength. The claims-backed-by-policy check locked one draft; the injection check withheld the other. No amount reached a customer.
- **Off-topic complaint (1 case):** a mortgage query was sorted as Lending with confidence 0.60. The confidence check referred it to a person.

Most instructive failures

- Six routing misses are cases with two signs of vulnerability sent to the Vulnerability Team rather than a senior: a labelling rule I would revisit with the bank.
- Five deadline misses are summary-resolution calls: the "resolved within three days" rule needs clearer case notes.
- The model's own confidence separates right from wrong only weakly (43/45 right above 0.75, 11/15 below), so it is not shown to handlers.

Limitations

One person wrote and labelled all 60 cases, so each case is 1.7 points. Prompt v2 was tuned after seeing v1's errors on the same cases: no held-out set, so new complaints would score lower. The citation rule was corrected twice after this evaluation; stored checks were re-run by code, the evaluation was not. Masking is rules and name lists. No real handler has used it. **A pilot must prove** real data quality, integration, calibration, staff behaviour and cost at volume, against a control team: a pilot designed to succeed will not scale.

AI Governance Engineering · controls and human review

Governance lives inside the handler's screen, not in a policy document: each control runs on every case, locks approval when it fails and writes its own evidence.

Risk	Control (in code)	Across 60 stored cases	Designed to support
Personal data reaches the model	Masking before every call; leak check stops the case	60 passed	UK GDPR Art 5(1)(c)
Instruction hidden in a complaint	Pattern rules plus triage flag; draft withheld	4 withheld	FCA AI report 2026
Invented or unsupported claims	Every reference must exist; every claim must cite a clause	11 locked	DISP 1.4.1R(4)
Redress set by the customer or beyond authority	£250 handler, £1,000 senior, above blocked; amounts need a basis	2 locked, 4 referred	DISP 1.4.1R(2)(3); FOS award bands
Vulnerable customer handled alone	Senior co-approval always	16 referred	FG21/1; PRIN 2A.6.2R(1)
Missed ombudsman rights	Final and summary replies checked; delay letters checked	56 passed	DISP 1.6.2R; DISP 1.5
Rubber-stamping	Mandatory reason codes; prompt on approvals under 20 s; adoption counts	audit trail	UK GDPR Art 22A, meaningful human involvement

Accountable owner: Head of Customer Resolution (SMF) for the controls; the Chief Risk Officer for the thresholds. "Designed to support" is design intent, verified against the Handbook on 08–10/11/2026, not legal advice.

Human review tiers

Tier	Who	What must come to them
1	Complaint handler	Every case: reads the draft against the complaint, checks each clause, decides with a reason
2	Senior handler	Signs of vulnerability; redress above £250; low confidence
3	Specialist team	Authorisation and fraud decisions, lending, complex vulnerability; receives a complete pack and can return it with a reason

What the FCA's AI report (October 2026) asked for

The report's areas for improvement include over-reliance on "a human in the loop" and assuming a model can spot vulnerability without testing it. Here the human step is designed (locked approval, reasons, the 20-second prompt) and vulnerability detection is measured (14 of 14 spotted, 2 false alarms in 16).

Monitoring in production

Drift in the mix of complaint types; citation failures per week; override and amendment rates; handover returns; a monthly QA sample read by a senior; re-run the evaluation after any prompt, policy or model change. Horizon: FCA redress reforms (CP26/9) and the ICO statutory AI code.

Handlers move from searching and typing to checking and deciding. Adoption is measured inside the product, so quiet reversion shows early.

Roles before and after

Role	Before	After
Handler	Searches notes and policy; writes from scratch	Reads a cited draft; checks facts and tone; decides with a reason
Senior	Ad hoc checks on request	Co-approves the cases that carry risk; samples for QA
Specialist	Chases missing information	Receives the same complete pack every time; returns count
QA and Risk	Periodic file reviews	Live evidence from the audit trail and results page

Skills and change

AI literacy; judging a draft against the complaint; checking a policy reference; recording a reason. Workflow co-designed with handlers in the pilot; partners such as Decoded for literacy and Seymour Powell for the handler experience.

Adoption measures built in

- Share of drafts approved unchanged versus edited (rubber-stamping or distrust)
- Approvals under 20 seconds and prompts confirmed
- Escalations and handovers returned by specialists
- Reason codes chosen; time from opening a case to a decision

Value case (every input an assumption to test)

Minutes saved per case × complaints per year × loaded cost per hour, plus fewer returned handovers and fewer missed deadlines. AI cost about 1p per complaint. Framed as capacity to clear the backlog, not headcount. The case fails if review time eats the saving, which is why handling time is measured against a control team.

Roadmap

Phase	What	Gate
Months 1–3	Pilot in one team with a control team; real data behind the bank's firewall; name-entity masking as a second layer; server-side audit log and sign-in	No personal data reaches a model; vulnerability recall ≥ 95%; handling time down with quality held
Months 4–6	Scale to all handlers; hybrid retrieval; calibrated confidence; integration with the case system	Override rate and returns within agreed bands; CRO sign-off
Months 7–12	Root-cause analytics across complaints; QA sampling assistant	Measured outcomes reported to the board

Try it: open the hosted link, Cases → Demo guide. Four cases show the controls in about a minute. All data is synthetic; nothing is sent to anyone.